

## 24PSCV00137 24PSCV00137

County: los-angeles

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Case Number: 24PSCV00137 Hearing Date: August 11, 2026 Dept: 6

CASE NAME:

Manuel

Fernandez, trustee of the Pena Family Revocable Trust dated November 9, 2022 v.

Shmuel Y. Mahgerefteh, et al.

1. Cross-Defendant Manuel Fernandez's Demurrer to Cross-Complaint of  
Shmuel Y. Mahgerefteh; and

2. Cross-Defendant Manuel Fernandez's Motion to Strike Portions of  
Cross-Complaint of Shmuel Y. Mahgerefteh

TENTATIVE RULING

The Court OVERRULES Cross-Defendant

Manuel Fernandez's Demurrer to Cross-Complaint of Shmuel Y. Mahgerefteh.

The Court DENIES Cross-Defendant Manuel

Fernandez's Motion to Strike Portions of Cross-Complaint of Shmuel Y.

Mahgerefteh.

Cross-Defendant Manuel Fernandez must

file and serve an Answer to the Cross-Complaint within 10 calendar days of the  
Court's order.

Cross-Complainant

Shmuel Y. Mahgerefteh is ordered to give notice of the Court's ruling within  
five calendar days of this order.

## BACKGROUND

This is a real property loan dispute. On January 12, 2024, plaintiff Manuel Fernandez, trustee of the Pena Family Revocable Trust dated November 9, 2022 (Fernandez) filed this action (Case Number 24PSCV00137) against defendants Shmuel Y. Mahgerefteh (Mahgerefteh), Law Offices of Richard G. Witkin APC (Witkin) and Does 1 through 50, alleging causes of action for declaratory relief, unfair and unlawful business practice, injunctive relief, cancellation of instruments, rescission based on unconscionability, and accounting.

On March 27, 2025, plaintiff Martha Pena (Pena) filed Case Number 25PSCV01099 against defendant Manuel Fernandez, Does 1 through 15, and Roe Business Entities 1 through 15, alleging causes of action for elder abuse, quiet title, and fraud & undue influence.

On June 9, 2025, the Court found this case related to Case Number 25PSCV01099 and designated this case (Case Number 24PSCV00137) the lead case. On June 16, 2025, the Court ordered these cases consolidated with Case Number 24PSCV00137 designated as the lead case.

On September 18, 2025, Pena filed an amendment to the complaint, substituting Shmuel Y. Mahgerefteh in place of Doe 1. On December 4, 2025, Pena filed an amendment to the complaint, substituting Manuel Fernandez, Trustee of the Pena Family Revocable Trust dated Nov. 9, 2022 in place of Doe 2. On January 20, 2026, Pena filed an amendment to the complaint, substituting Ashwood TD Services, a limited liability company in place of Doe 3. On the same date, Pena filed an amendment to the complaint, substituting Sheina Saquillo Trinidad, an individual in place of Doe 4. On the same date, Pena filed an amendment to the complaint, substituting Giselle G. De Alba, an individual in place of Doe 5.

On January 20, 2026, Pena filed a First Amended Complaint (Pena's FAC) against defendants Manuel Fernandez, Trustee of the Pena Family Revocable Trust dated November 9, 2022, Shmuel Mahgerefteh, Ashwood TD Services, Sheina Saquillo Trinidad, Giselle G. De Alba, Does 1 through 15, and Roe Business Entities 1 through 15, alleging causes of action for financial elder abuse, violation of California Foreclosure Consultant Law, conversion, violation of Penal Code §496, cancellation of written

instruments, quiet title, accounting, and imposition of constructive trust.

On May 13, 2026, Shmuel Y. Mahgerefteh filed a cross-complaint against Manuel Fernandez, individually and as Trustee of Pena Family Revocable Living Trust Dated November 9, 2022, Martha Pena, and All Persons Claiming Any Legal or Equitable Right, Title, Estate, Lien or Interest in the Real Property Described in the Complaint Adverse to Cross-Complainant's Title, or Any Cloud Upon Cross-Complainant's Title Thereto, and Roes 1 through 25, alleging causes of action for equitable lien and declaratory relief.

On June 18, 2026, Fernandez demurred to and moved to strike portions of Mahgerefteh's Cross-Complaint. On July 9, 2026, Mahgerefteh opposed both motions. On August 6, 2026, Fernandez replied to Mahgerefteh's Oppositions.

#### LEGAL STANDARD – Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

A demurrer can be utilized where the “face of the complaint” itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The “face of the complaint” includes material contained in

attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94; see also Barnett v. Fireman's Fund Ins. Co. (2001) 90 Cal.App.4th 500, 505 ["[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits"].)

A demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046-1047.)

#### PRELIMINARY ISSUES – Demurrer

"Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses." (Cal. Rules of Court, rule 3.1320, subd. (a).) Fernandez's Demurrer fails to comply with this rule and improperly combines the grounds for both causes of action. (Demurrer, 1:27-2:2.) The Court admonishes Fernandez to comply with the California Rules of Court going forward.

#### REQUESTS FOR JUDICIAL NOTICE – Demurrer

The Court GRANTS Mahgerefteh's requests for judicial notice. (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 803 [court may take judicial notice of recorded deed].) However, the Court takes judicial notice only as to "the existence, content and authenticity of public records and other specified documents" and the legal effect of the documents' language when that effect is clear, it does not take judicial notice of the truth of the factual matters asserted in those documents. (Dominguez v. Bonta (2022) 87 Cal.App.5th 389, 400; Fontenot v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 265.)

#### DISCUSSION – Demurrer

##### Meet and Confer

The Court finds Fernandez's efforts to meet and confer before bringing this Demurrer sufficient. (Fernandez Decl., ¶ 4; Code Civ. Proc., § 430.41,

subd. (a).)

#### Grounds for Demurrer

Fernandez demurs to both causes of action in Mahgerefteh's Cross-Complaint on the grounds that they fail to state facts sufficient to constitute a cause of action and on the grounds that they are uncertain.

#### First Cause of Action – Equitable Lien (or Equitable Subrogation)[1]

To state a cause of action for equitable subrogation, "One who claims to be equitably subrogated to the rights of a secured creditor must satisfy certain prerequisites. These are: "(1) Payment must have been made by the subrogee to protect his own interest. (2) The subrogee must not have acted as a volunteer. (3) The debt paid must be one for which the subrogee was not primarily liable. (4) The entire debt must have been paid. (5) Subrogation must not work any injustice to the rights of others." (Caito v. United California Bank (1978) 20 Cal.3d 694, 704.)

Fernandez contends the equitable-subrogation claim fails to plead the essential elements. Fernandez argues the pleading fails on the fourth element because paragraph 9 alleges only that the loan proceeds paid "no less than \$80,163.58" toward the senior Bank of America deed of trust, against an original principal of \$121,627.00, which does not allege full satisfaction, and subrogation does not lie for partial payment. Fernandez later withdraws this contention. (Reply, p. 2:10-15.) Fernandez further argues the claim pleads no facts on the fifth element (that subrogation would not work injustice to others, including the equities between the parties and the circumstances of loan origination) or the second element (non-volunteer status). Finally, Fernandez argues paragraphs 12 through 14 plead only the legal conclusion that Mahgerefteh is "entitled" to subrogation, and conclusory allegations are insufficient.

In opposition, Mahgerefteh contends that there is no requirement to pay the original amount of the senior lien; paying off the remaining unpaid balance suffices, and the Cross-Complaint and judicially noticeable documents show he fully paid off the remaining Bank of America balance and the tax liens. Mahgerefteh argues he was not a volunteer

because he was required to pay off the senior liens to secure his own intended first-priority position, satisfying the first two elements. Mahgerefteh contends an equitable lien would not work an injustice on Pena but would prevent her windfall, i.e., obtaining the property free of the senior debt his loan retired and that she could not pay. Mahgerefteh also argues that on demurrer all allegations are taken as true and all reasonable inferences are drawn in his favor, and that ultimate facts, not evidentiary facts, are all that is required.

The Court finds Mahgerefteh's Cross-Complaint alleges sufficient facts to state a cause of action for equitable lien/subrogation. The Cross-Complaint alleges Mahgerefteh loaned Fernandez money, the loan was secured by a first priority deed of trust, and that the loan money paid off the senior lien between Pena and Bank of America. (Cross-Compl., ¶ 9.) The Court further finds that reasonable inferences can be drawn from the Cross-Complaint's allegations that Pena would obtain a windfall based on Mahgerefteh's loan retiring the debt that Pena owed to Bank of America, and which Pena's failure to pay the debt had precipitated a foreclosure on the subject property. (Cross-Compl., ¶ 9; Pena's FAC, ¶ 11; Request for Judicial Notice, Exs. 6-7; Code Civ. Proc., § 452.)

Based on the foregoing, the Court **OVERRULES** the Demurrer to the First Cause of Action.

#### Second Cause of Action – Declaratory Relief

To state a cause of action for declaratory relief, the plaintiff must allege facts demonstrating “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” [Citation.]” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) “In the context of a demurrer, the courts evaluate whether the factual allegations of a complaint for declaratory relief reveal an actual, ripe controversy exists between the parties.” [Citation.]” (JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 688.) Past conduct is not proper subject matter for a declaratory relief claim. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366.) “Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory

relief which is 'wholly derivative' of the statutory claim. [Citation.]" (Ball v. FleetBoston Fin. Corp. (2008) 164 Cal.App.4th 794, 800.)

Fernandez argues the declaratory relief claim is wholly duplicative and fails as a matter of law. Fernandez contends declaratory relief is improper where it merely duplicates other claims or defenses already at issue in the same action. Fernandez argues the claim seeks the identical equitable lien sought in the First Cause of Action and mirrors Mahgerefteh's own pleaded Third Affirmative Defense for "Equitable Lien/Equitable Subrogation," so it adds nothing and should be sustained without leave to amend. Fernandez also argues both causes are uncertain because their conditional, hypothetical nature — operative only "if" Pena prevails — deprives him of fair notice, without specifying which of Pena's eight causes of action is the predicate, in what amount, or on what findings.

In opposition, Mahgerefteh contends that the claim states the two elements of declaratory relief, i.e., a proper subject (rights in real property) and an actual, present controversy arising from Pena's suit to cancel his deed of trust. Mahgerefteh argues the claim is not duplicative because a plaintiff may plead cumulative or inconsistent causes of action, declaratory relief is a cumulative remedy, and the relief sought differs, i.e., a declaration of the deed of trust's validity and first priority and the parties' future rights, rather than merely imposition of the lien. Mahgerefteh contends Fernandez's authorities are inapposite because they involved separate actions or summary adjudication, not a demurrer, and that the court may decline declaratory relief only where a more adequate legal remedy exists, which Fernandez has not identified. On uncertainty, Mahgerefteh argues the Demurrer fails because it does not specify by page, paragraph, or line where the pleading is uncertain, such demurrers are disfavored and defeated by discovery, and alternative and contingent pleading is expressly permitted.

The Court finds Mahgerefteh's Cross-Complaint alleges sufficient facts to state a cause of action for declaratory relief. This cause of action is not entirely duplicative of the First Cause of Action for equitable lien because it seeks a future declaration concerning the validity and priority of Mahgerefteh's deed of trust, and then alternatively seeks an equitable lien. (Cross-Compl., ¶ 18.)

Based on the foregoing, the Court OVERRULES the Demurrer to the

Second Cause of Action.

#### LEGAL STANDARD – Motion to Strike

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e).” (Code Civ. Proc., § 435, subd. (b)(2).) “The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Id., § 436.)

#### REQUESTS FOR JUDICIAL NOTICE – Motion to Strike

The Court GRANTS Mahgerefteh’s requests for judicial notice. (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 803 [court may take judicial notice of recorded deed].) However, the Court takes judicial notice only as to “the existence, content and authenticity of public records and other specified documents” and the legal effect of the documents’ language when that effect is clear, it does not take judicial notice of the truth of the factual matters asserted in those documents. (Dominguez v. Bonta (2022) 87 Cal.App.5th 389, 400; Fontenot v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 265.)

#### DISCUSSION – Motion to Strike

##### Meet and Confer

The Court finds Fernandez’s efforts to meet and confer before bringing this Motion to Strike sufficient. (Fernandez Decl., ¶ 4; Code Civ. Proc., § 435.5, subd. (a).)

##### Summary of Arguments

Fernandez moves to strike three categories of relief he contends are unavailable as a matter of law. First, Fernandez argues the prayer for attorneys’ fees, as allowed by law, should be stricken under the American Rule because the Cross-Complaint pleads no fee-bearing contract and identifies no statute authorizing fees on an equitable-subrogation or



declaratory-relief claim. Second, Fernandez argues the right to non-judicial foreclosure language should be stricken because a power of sale under Civil Code sections 2924 et seq. exists only in a deed of trust with a contractual power of sale, and a court-imposed equitable lien is a judicially created lien with no power of sale, enforceable only by judicial foreclosure. Third, Fernandez argues the encumbering 100% of the Subject Property and first priority language should be stricken because equitable subrogation is limited to the sums actually paid, and only partial payment of \$80,163.58 is pleaded.

In opposition, Mahgerefteh responds that Fernandez offers no cognizable argument or authority that the fees sought are not allowed by any applicable contract, statute, or law, so the fees are properly alleged. On non-judicial foreclosure, Fernandez argues an equitable subrogee acquires the rights that a written assignment of the prior deed of trust would confer, and because the Bank of America deed of trust he paid off included a power of sale, as does his own recorded deed of trust, the Cross-Complaint legitimately seeks that right. On the 100% encumbrance, Mahgerefteh argues Fernandez offers no authority that an equitable lien attaches to less than the entire encumbered property, and because his loan paid off and satisfied the Bank of America deed of trust, which encumbered 100% of the property, his equitable lien would likewise encumber 100%. Mahgerefteh acknowledges the lien's amount would be at least the sum paid off (\$80,163.58) plus applicable fees, costs, and interest, but maintains the lien would be secured by 100% of the property.

#### Analysis

First, attorney fees are recoverable by contract, statute, or law. (Code Civ. Proc., § 1033.5, subd. (a)(10).) Paragraph 8 of the January 26, 2023 Deed of Trust between Mahgerefteh and Fernandez provides Mahgerefteh the right to recover attorney fees if there is a legal proceeding that might significantly affect Mahgerefteh's interest in the property. (Request for Judicial Notice, Ex. 10, ¶ 8; Cross-Compl., Prayer for Relief, ¶¶ 1-2.) Pena's claims likely fall within the scope of this provision. Accordingly, Mahgerefteh's attorney fee request is proper.

Second, Mahgerefteh's nonjudicial foreclosure request is proper since the January 18, 2023 Deed of Trust between Fernandez and Mahgerefteh provides the lender with the right to invoke power of sale. (Request for Judicial Notice, Ex. 10, p. 2 of 15, pdf p. 62 – Transfer of Rights in the Property.) The Cross-Complaint alleges

Mahgerefteh loaned the money that paid off the Bank of America lien and secured the loan with a deed of trust, which provides a basis for Mahgerefteh to invoke the power of sale under the January 18, 2023 Deed of Trust. (Cross-Compl., ¶ 9.)

Third, while Fernandez is correct that a subrogee is placed in the same position as the prior lienholder only to the extent paid on the other's behalf, that does not prevent the lien from attaching to the whole parcel that the prior lien encumbered. (See *Caito v. United California Bank* (1978) 20 Cal.3d 694, 704-705 [when a cotenant is personally obligated for part of a debt secured by the whole parcel of land and one cotenant is required to pay the whole debt to protect their interest, the cotenant who pays the whole debt becomes the subrogee but only to the extent of the payment made on the defaulting cotenant's behalf].)

Based on the foregoing, the Court DENIES the Motion to Strike.

#### CONCLUSION

The Court OVERRULES Cross-Defendant Manuel Fernandez's Demurrer to Cross-Complaint of Shmuel Y. Mahgerefteh.

The Court DENIES Cross-Defendant Manuel Fernandez's Motion to Strike Portions of Cross-Complaint of Shmuel Y. Mahgerefteh.

Cross-Defendant Manuel Fernandez must file and serve an Answer to the Cross-Complaint within 10 calendar days of the Court's order.

Cross-Complainant Shmuel Y. Mahgerefteh is ordered to give notice of the Court's ruling within five calendar days of this order.

[1] The caption page of Mahgerefteh's Cross-Complaint labels this cause of action as being for "equitable lien," but the body of the Cross-Complaint labels it "equitable subrogation." The Court uses either label interchangeably.